the Tibetans were told to accept Bhutanese citizenship, or leave the country. Most of them left for India.

China has responded to Bhutan's delicate balancing act by deploying its new, post-Mao Zedong strategy in foreign affairs: soft diplomacy. In recent years, Chinese circus artistes, acrobats, and footballers have travelled to Bhutan and a limited number of Bhutanese students have received scholarships to study at universities in China. Tourism has also expanded. A decade ago, only 19 Chinese tourists visited Bhutan. In 2015, the figure was 9,399, or 19 per cent of the total.[7]

Not surprisingly, India is watching these developments with concern. In July 2014, Bhutan became the first international stop for Narendra Modi, two months after he became India's prime minister. Later that year, India's President Pranab Mukherjee visited Bhutan, underscoring the value that New Delhi places on its relations with the small but strategically located Himalayan kingdom. High on the agenda was discussion on China's attempts to gain a permanent presence in Bhutan. Diplomatically, the only contact between China and Bhutan are a series of talks to settle the border between the two countries. Today, China lays claim to two areas of Bhutan, a strip of territory adjacent to the Chumbi Valley and a large area in the north, while a 1961 map produced by Beijing showed larger areas of Bhutan as well as of Nepal and Sikkim as part of China. At one stage, China considered nearly 4,500 square kilometres of land on the northern and western regions of Bhutan to be disputed. In the 1930s, Mao openly declared that 'the correct boundaries of China' would include Bhutan, Myanmar, Nepal, Taiwan, Korea, and the Ryukyu Islands. But those remarks were later deleted from official records so as not to antagonize China's neighbours.[8]

Bhutan, high up in the Himalayas, may be considered an isolated kingdom, but its interaction with the outside world began as early as the seventh century when the Tibetan king Srongtsen Gampo converted to Buddhism and ordered the construction of two temples, one in Bumthang and the other in the Paro Valley. In the eighth century, the Buddhist sage Padmasambhava, who was also known as Guru Rimpoche and sometimes referred to as the Second Buddha, came to Bhutan from India at the invitation of one of the local kings who at that time ruled various parts of the country. Guru Rimpoche then travelled on into Tibet and, on his return